

Introduction to Actuarial Audit under IFRS 17

Leonardo Valentino Kosasih

Institut Teknologi Bandung

February 9, 2026

Agenda

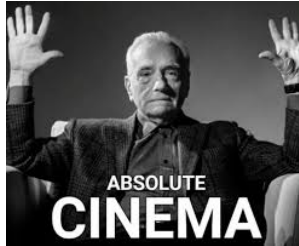
- ① Actuarial Science and Accounting
- ② What is an Insurance Contract
- ③ LfRC (Liability for Remaining Coverage)
- ④ LfIC (Liability for Incurred Claims)
- ⑤ Financial Disclosure

Out of Scope

- ① Reinsurance Contract Held
- ② Shariah Insurance

My Personal Goal from Today's Session

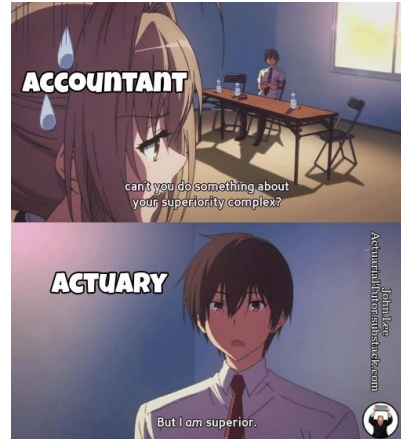
- 1 Sharing 30% accounting knowledge 70% actuarial application
- 2 Showing you some memes along the presentation so keep your eyes open :D
- 3 Audit is about how you think, not just what you do.
- 4



Actuarial Science and Accounting

IFRS 17 actuarial audit

Actuaries and Accountants



Why do these memes exist? Is it true? (Credit to: John Lee)

Accounting Standards for Insurance

In (re)insurance one of the International Financial Reporting Standards (IFRS) we use is IFRS 17 : Insurance Contract. In every IFRS, it has 3 major sections:

- ① Scope: which items are covered by the IFRS (accounting),
- ② Recognition and Measurement: how to record the initial balance (actuarial science),
- ③ Disclosure: how to present the result in financial disclosures (accounting).

Doing the actuarial audit, means that we need to check the documentation, assumptions used and whether it align with the standards.

Example of IFRS17 Financial Statement - Balance Sheet

Below is the Prudential Life IFRS17 disclosure access on 6 February 2026.

	Note	2025 \$m 30 Jun	2024 \$m 30 Jun	31 Dec
Assets				
Goodwill ✓	C4.1	889	819	848
Other intangible assets	C4.2	3,939	3,758	3,824
Property, plant and equipment	C1.2	537	390	417
Insurance contract assets ✓	C3.1	1,722	1,131	1,345
Reinsurance contract assets ✓	C3.1	3,267	3,200	3,390
Deferred tax assets		150	155	142
Current tax recoverable		75	25	31
Investments in joint ventures and associates accounted for using the equity method		2,517	1,781	2,412
Investment properties	C1.1	3	3	3
Loans	C1.1	534	543	517
Equity securities and holdings in collective investment schemes ^{note}	C1.1	83,705	73,110	81,002
Debt securities ^{note}	C1.1	84,871	74,543	73,804
Derivative assets	C1.1	1,528	276	395
Deposits	C1.1	6,141	5,284	5,466
Accrued investment income	C1.2	1,039	960	902
Other debtors	C1.2	2,284	2,440	1,310
Assets held for sale	C1.2	282	291	296
Cash and cash equivalents	C1.1	5,636	5,978	5,772
Total assets		199,119	174,687	181,876
Equity				
Shareholders' equity	C3.1	18,119	16,171	17,492
Non-controlling interests		1,325	1,065	1,182
Total equity		19,444	17,236	18,674
Liabilities				
Insurance contract liabilities ✓	C3.1	161,476	141,099	147,566
Reinsurance contract liabilities ✓	C3.1	510	1,379	536
Investment contract liabilities without discretionary participation features	C2.2	730	819	748
Core structural borrowings of shareholder-financed businesses	C5.1	4,473	3,930	3,925
Operational borrowings	C5.2	853	961	797
Obligations under funding, securities lending and sale and repurchase agreements		665	576	272
Net asset value attributable to unit holders of consolidated investment funds		2,332	2,921	2,679
Deferred tax liabilities		1,772	1,339	1,514
Current tax liabilities		273	231	238
Accruals, deferred income and other creditors	C1.2	5,235	3,395	2,848
Provisions		157	137	218
Derivative liabilities		924	426	1,617
Liabilities held for sale	C1.2	275	238	244
Total liabilities		179,675	157,451	163,202
Total equity and liabilities		199,119	174,687	181,876

Note

Included within equity securities and holdings in collective investment schemes and debt securities as at 30 June 2025 are \$1,599 million of lent securities and assets subject to repurchase agreements (30 June 2024: \$1,680 million; 31 December 2024: \$1,565 million).

Observe that the Insurance Contract Liabilities (ICL) is around 80% of the total equity and liabilities, which make it more important to verify whether the amount is correct.

Example of IFRS17 Financial Statement - Profit and Loss

		2025 \$m	2024 \$m	
	Note	Half year	Half year	Full year
Insurance revenue ✓	B1.4	5,326	4,961	10,358
Insurance service expenses ✓		(3,961)	(3,638)	(7,763)
Net expense from reinsurance contracts held ✓		(125)	(252)	(302)
Insurance service result ✓		1,240	1,071	2,293
Investment return ✓	B1.4	7,059	2,495	5,919
Fair value movements on investment contract liabilities ✓		(14)	(54)	(95)
Net insurance and reinsurance finance expense ✓		(6,149)	(2,274)	(4,492)
Net investment result ✓		896	167	1,332
Other revenue	B1.4	189	197	382
Non-insurance expenditure		(487)	(532)	(1,003)
Finance costs: interest on core structural borrowings of shareholder-financed businesses		(87)	(85)	(171)
Loss attaching to corporate transactions	B1.1	(16)	(69)	(71)
Share of (loss) profit from joint ventures and associates, net of related tax		(28)	(243)	477
Profit before tax (<i>being tax attributable to shareholders' and policyholders' returns</i>) ^{note}		1,707	506	3,239
Tax charge attributable to policyholders' returns		(7)	(112)	(286)
Profit before tax attributable to shareholders' returns	B1.1	1,700	394	2,953
Total tax charge attributable to shareholders' and policyholders' returns	B2	(348)	(324)	(824)
Remove tax charge attributable to policyholders' returns		7	112	286
Tax charge attributable to shareholders' returns		(341)	(212)	(538)
Profit for the period		1,359	182	2,415

Top 4 of the largest line items are investment return, net insurance and reinsurance finance expense insurance revenue and insurance service expenses

What is an Insurance Contract

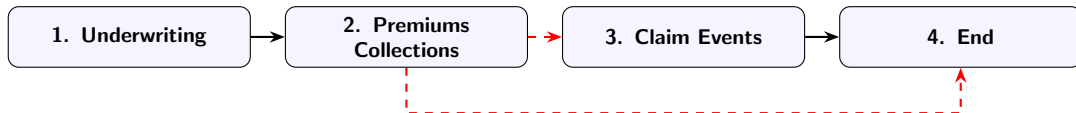
IFRS 17 actuarial audit

Introduction to Insurance Contract

Insurance contract is a contract under which one party (the issuer) accepts **significant insurance risk** from another party (the policyholder) by agreeing to **compensate** the policyholder if a specified **uncertain future event** (the insured event) adversely affects the policyholder.

Source: IFRS 17, Appendix A (Definitions).

Typical lifecycle of an insurance as a policyholder:



But how to determine the **significant insurance risk**?

What is an insurance contract (conceptually)? I

Insurance risk is significant if and only if, an insured event could cause the issuer to pay **additional amounts** that are significant in any single scenario, excluding scenarios that have no commercial substance (i.e., no discernible effect on the economics of the transaction)...

Source: IFRS 17, Appendix B18

The additional amounts above are determined on a present-value basis.

Source: IFRS 17, Appendix B20

What is an insurance contract (conceptually)? II

The additional amounts refer to the present value of amounts that exceed those that would be payable if no insured event had occurred (excluding scenarios that lack commercial substance). Those additional amounts include claims handling and assessment costs, but exclude:

- the loss of the ability to charge the policyholder for future service,
- a waiver, on death, of charges that would be made on cancellation or surrender,
- a payment conditional on an event that does not cause a significant loss to the holder of the contract,
- possible reinsurance recoveries.

Source: IFRS 17, Appendix B21

Or as an actuary, this means to:

$$\sum_i EPVCF_{i, \text{claim event}}$$

$$\sum_i EPVCF_{i, \text{ no claim event}}$$

Quick Break

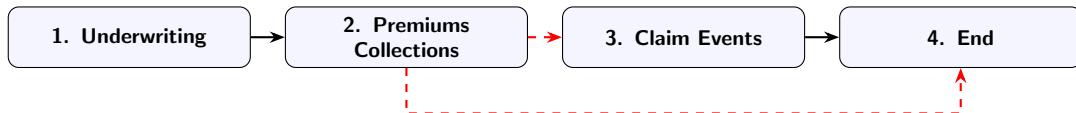
From this section, now you know how to answer this question from a very famous "*star*"



LfRC (Liability for Remaining Coverage)

IFRS 17 actuarial audit

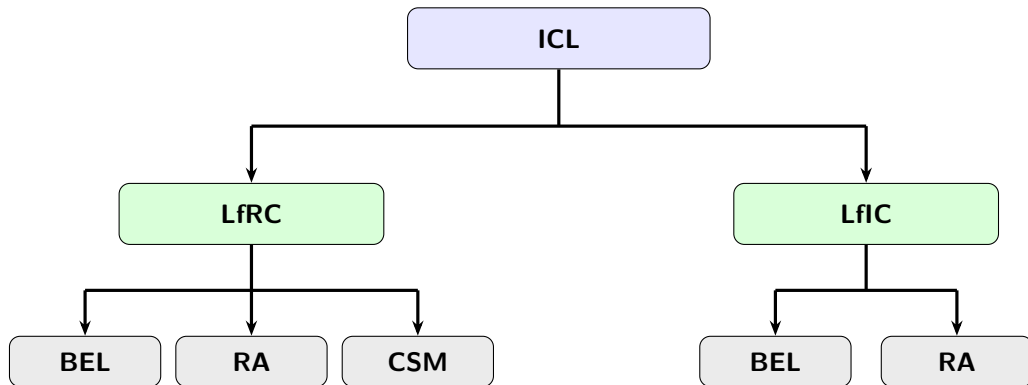
Where's My Money



We are going to take a closer look on the lifecycle of an insurance from previous slide and ask ourselves, "what happened to the money after policyholders pay the premium? Does the insurer just keep the money in a bank? Pay claims to other policyholder? or just hope that no claim will submitted ?

When the insurance are issued, the insurance directly become a liability of the insurer meaning that the insurance company is liable to pay the policy holder if a claim event happened. But it doesn't mean that every insurance will be a liability to the insurance company. There will be some cases where the insurance can be an assets (as we see in the previous balance sheet example).

What's inside the Insurance Contract Liability (ICL)?



LfRC building blocks: BEL, RA, CSM, LC

Under the general model, measurement is commonly described via building blocks:

$$\text{Fulfilment Cash Flows (FCF)} = \underbrace{\text{PV(Future Cash Flows)}}_{\text{"BEL" in actuarial language}} + \underbrace{\text{Risk Adjustment (RA)}}_{\text{for non-financial risk}}.$$

- **CSM:** unearned profit released as service is provided.
- **LC:** tracks losses for onerous groups (loss recognized immediately).

Measurement models: GMM vs VFA vs PAA

Quick map

- **GMM (General Measurement Model):** default for most contracts.
- **VFA (Variable Fee Approach):** eligible direct-participation contracts.
- **PAA (Premium Allocation Approach):** simplified LfRC for (often) short-duration contracts.

Audit will test model eligibility, assumptions, and consistency of roll-forwards.

What gets audited in LfRC? (typical)

- **Discount curve:** construction, liquidity premium, extrapolation, governance.
- **Cash flows:** premiums, benefits, expenses, lapses, options/guarantees, acquisition cash flows.
- **Risk adjustment:** method (e.g., confidence level / cost of capital), calibration, and disclosure.
- **CSM mechanics:** initial recognition, unlocking (future service), coverage units release.
- **LC tracking:** immediate loss recognition and subsequent reversals.

Transition (first-time application): why it is high-risk

IFRS 17 transition methods (depending on practicability):

- **Full retrospective**
- **Modified retrospective**
- **Fair value**

Audit focus: opening CSM / opening equity, data limitations, and consistency with permitted simplifications.

LfIC (Liability for Incurred Claims)

IFRS 17 actuarial audit

For incurred claims, we commonly separate:

- **RBNS** (reported-but-not-settled): case reserves.
- **IBNR/IBNER** (incurred-but-not-reported / incurred-but-not-enough-reported).

Under IFRS 17, LfIC is measured using fulfilment cash flows (discounting + RA, where relevant).

IBNR (illustrative): chain ladder core equations

Let $C_{i,j}$ be cumulative claims for accident year i at development age j .

Age-to-age factor:

$$f_j = \frac{\sum_i C_{i,j+1}}{\sum_i C_{i,j}}.$$

Ultimate estimate:

$$\hat{U}_i = C_{i,\text{latest}} \prod_{j=\text{latest}}^{\text{ultimate}-1} f_j, \quad \widehat{\text{IBNR}}_i = \hat{U}_i - C_{i,\text{latest}}.$$

Audit angle: why triangles fail

Common failure modes

- claims handling changes (speed-up/slow-down),
- inflation / portfolio mix shifts,
- inconsistent large loss treatment,
- inconsistent data definitions between actuarial & accounting systems.

Financial Disclosure and Statement Mapping

IFRS 17 actuarial audit

Where does it show up in the financial statements?

- **Balance sheet:** insurance contract assets or liabilities (and reinsurance assets).
- **P&L:**
 - insurance service result (revenue, service expenses, onerous losses),
 - insurance finance income/expenses (unwind + discount-rate changes; presentation policy matters).
- **Disclosures:** reconciliations/roll-forwards tying opening to closing balances.

Remeasurement mapping (illustrative)

Driver	Actuarial output	Accounting impact
New claims information	Updated assumptions / triangles	Past service effect in service result; LfRC movement
Future-service assumption changes	Updated projection model	Unlock CSM (future service) and change in LfRC
Discount curve unwind / up-dates	Interest accretion / OCI option	Finance income/expense (P&L and/or OCI) and remeasurement
Onerous recognition / LC	Profit testing	Immediate loss in P&L; LC tracking in LfRC

Suggested reading (primary sources)



International Accounting Standards Board (IASB). *IFRS 17 Insurance Contracts*. IFRS Foundation, issued 2017 (effective 1 January 2023).



EY. *Applying IFRS 17: A closer look at the new Insurance Contracts Standard* (“EY IFRS 17 playbook” / guide).